

# Auto Financing Strategy

OpCo #5

02<sup>nd</sup> July 2025



## Objectives of the meeting

- Share **project status update** and key **next steps** for each value creation opportunity
- Deep-dive on **used car financing value creation initiatives**
- Recap and agree on **Car.gr B2C customer journey**

# Status update and key next steps

## Value creation opportunities

### Recap of OpCo #4

#### A| Entering the Individual and SME leasing

- Assessed potential options for Eurobank to enter the leasing market, incl. pre-requisites and capabilities for each option
- Revised leasing market sizing by including addressable SME opportunity

#### B| Expanding digital presence

- Deep-dived on Mobile.de B2C customer journey and key learnings/ “best-practices” for Eurobank
- Shared preliminary hypothesis for Eurobank B2C customer journey on Car.gr and discussed “key decisions points”

#### C| Increasing used cars financing

*Not discussed – focus of today’s OpCo*

#### D| Launching B2B offering

*Not discussed – “ad hoc” meeting to be scheduled*



### Key next steps

- Finalize economics for each options
- Organize meetings with key CXOs to present options and discuss strategic choices for entering the leasing market by 2030 – ongoing scheduling of meeting for 7/07
- Recap and confirm key decision points for Eurobank B2C customer journey
- Estimate Opex and Capex requirement for all digital journeys (e.g., Car.gr, Cardom, Toyota)
- Discuss key value creation initiatives for used car financing (i.e., i) new credit policy supported by AA models ii) balloon financing)
- Share preliminary estimates of potential value capture for Eurobank by 2030 vs. planned ambition
- Organize “ad-hoc” OpCo to discuss B2B financing opportunity



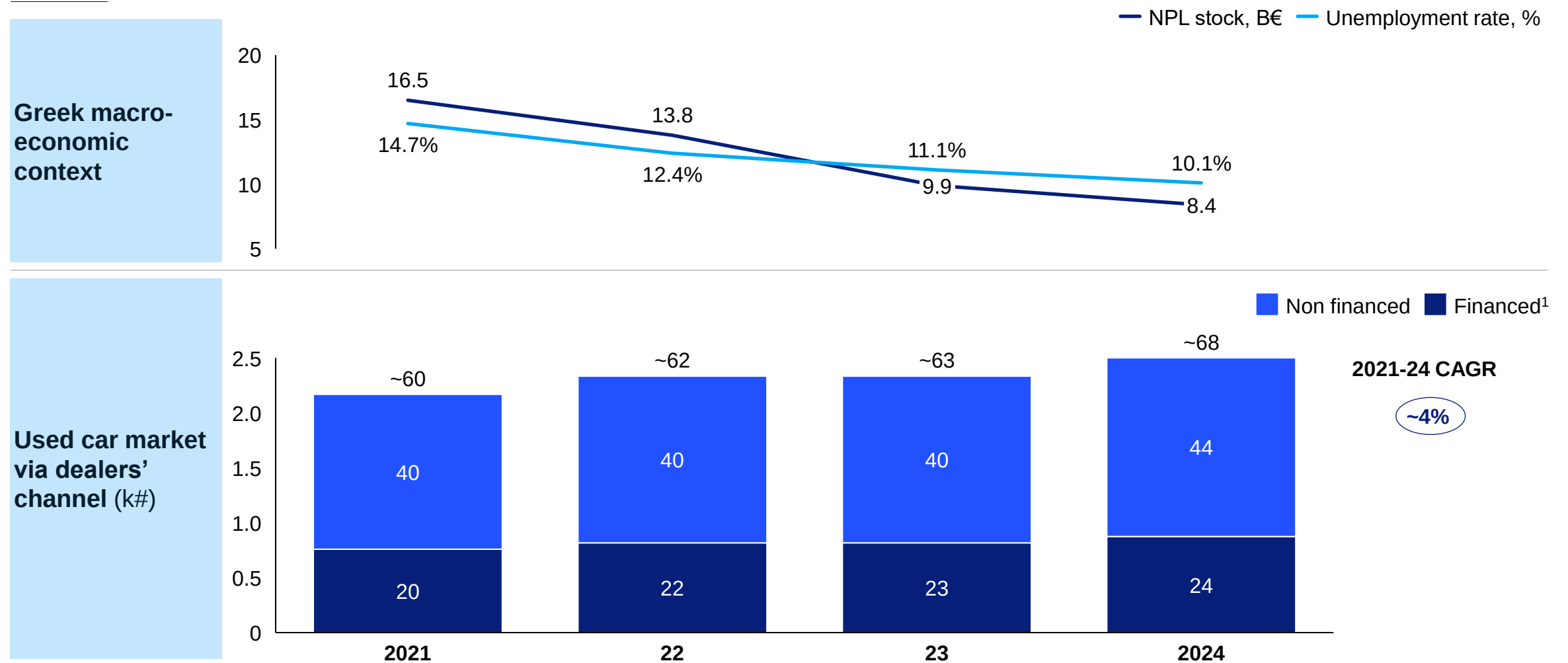
Regroup in 9/07 OpCo to preview the supporting document for 10/07 Steering Committee

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# C | In 2021-24 Greek macroeconomic context improved and used car market via dealers' network grew by ~4% p.a.

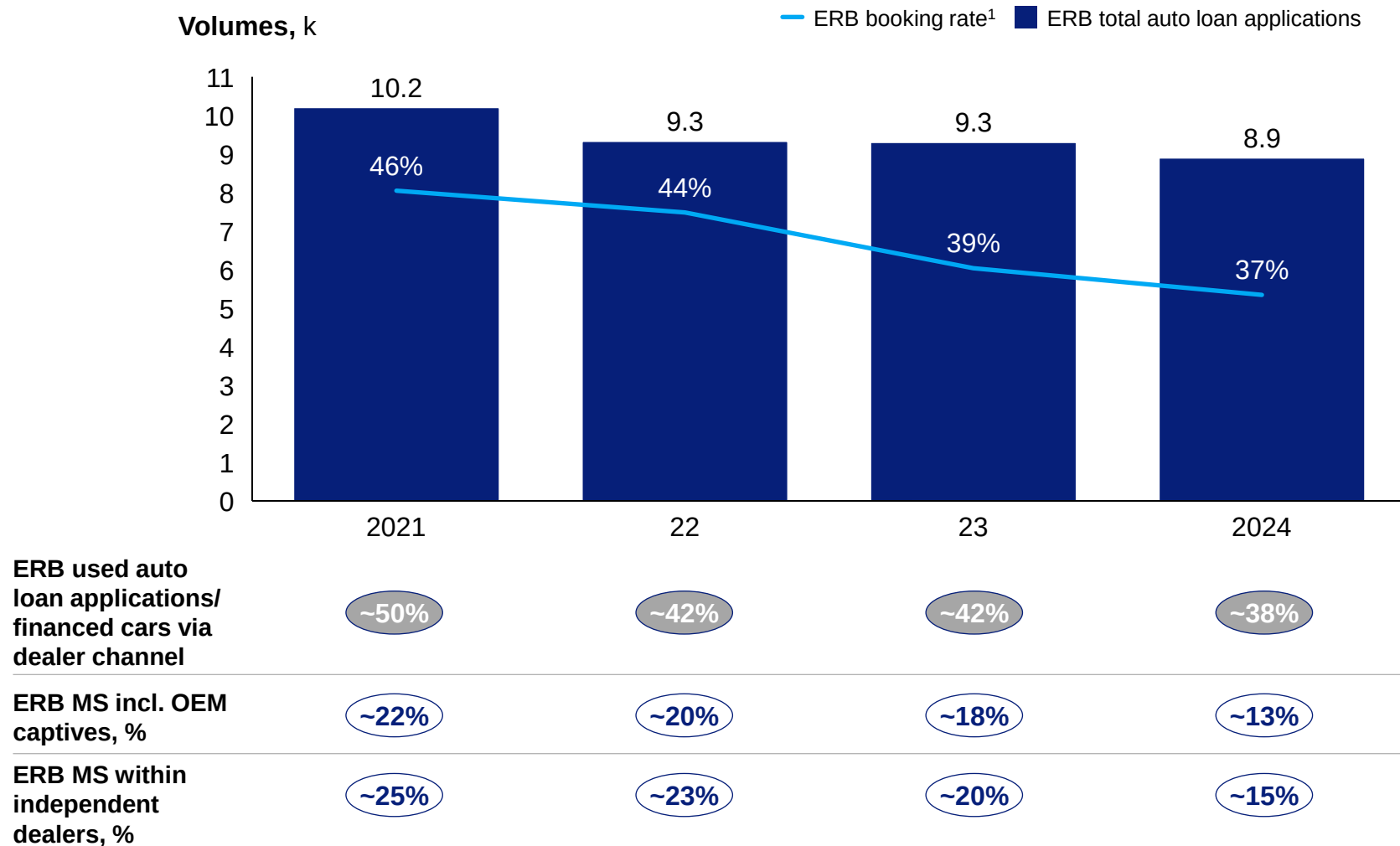
Preliminary



1. Assuming constant financing penetration at 35%

# C | In this context, Eurobank experienced a decline in auto loan applications and booking rate, leading to ~10 p.p. drop in MS

Evolution of Eurobank used auto loan applications (k#) and booking rate (%)



1. Booking rate calculated as: Applications disbursed/ Total incoming applications

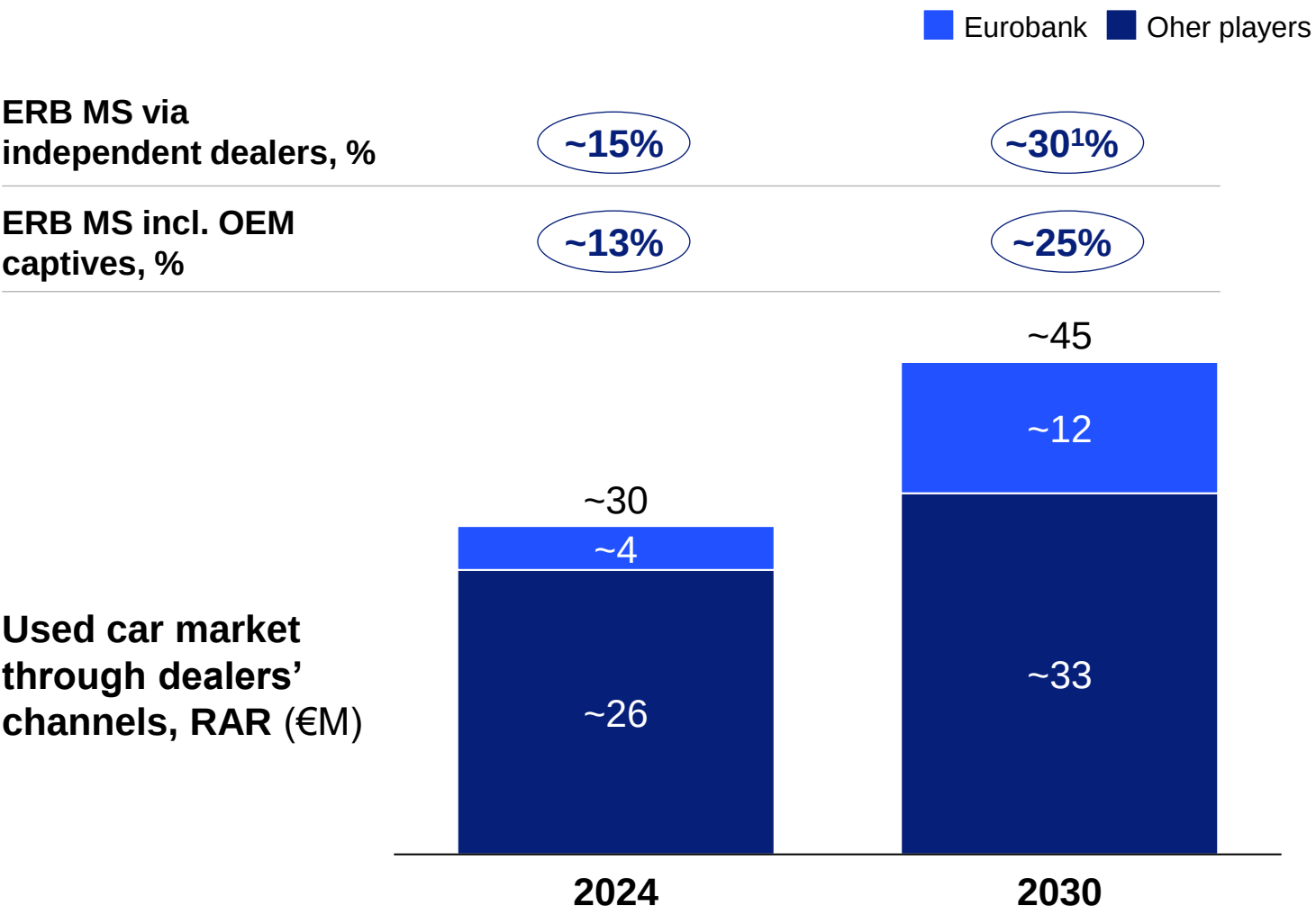
Source: Team analysis

## Potential drivers of ERB market share decline

- 1 | Decrease in booking rate**, leading to:
  - lower incoming application volumes due to reduced approval competitiveness
  - reduced auto loan disbursements

- 2 | Increase in competition** from new entrants and captive banks

# C| By 2030, Eurobank has the ambition to capture 30% MS in used cars financing via its independent dealer network...



## Key figures

- +5k** used cars financed (from ~3k cars in 2024 to ~8k cars in 2030)
- +60M€** loan disbursements for used auto (from ~30M€ in 2024 to ~90M€ in 2030)
- +8M€** RAR (from ~4 M€ in 2024 to ~12M€ in 2030, of which ~2M€ is from market growth)

1. 30% MS considers Eurobank share on the independent dealer channel, accounting to 40 M€ RAR  
 Source: Team analysis

## C | ...leveraging on two key initiatives for used cars



**1 | Introduce new AA models to consumer lending to identify “Green Clients” within the high-conviction zone to enable more flexible credit policies**



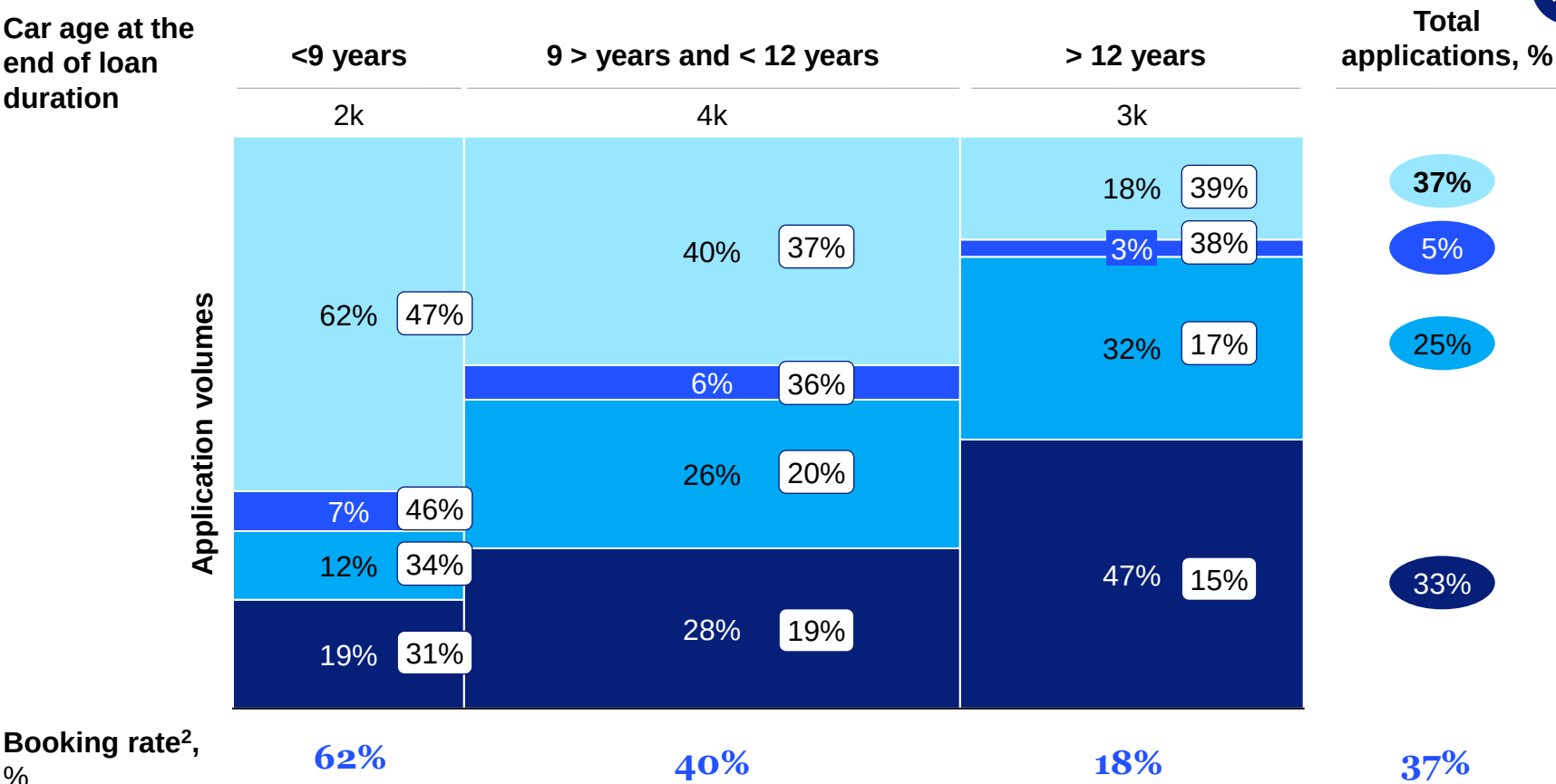
**2 | Enhance used cars product offering by introducing balloon financing, to expand financing options for used cars**

# C1 | Eurobank booking rate for used cars driven by rejections and counteroffers

Preliminary

Avg. down-payment<sup>1</sup>, %    xx    Disbursed    Approved & Cancelled    Counteroffer & Cancelled    Rejected

## Eurobank used auto loan application outcomes, by car age plus loan term (k#)



## Key remarks

- The key **drivers** of Eurobank **low booking rate** are **rejections** and **counteroffers**, particularly in the segment where car age plus loan term exceeds 9 years (~80% applications)
- In addition, **disbursements** tend to concentrate on applications with **down payment above 37%**, with remaining cases resulting in rejections or counteroffers

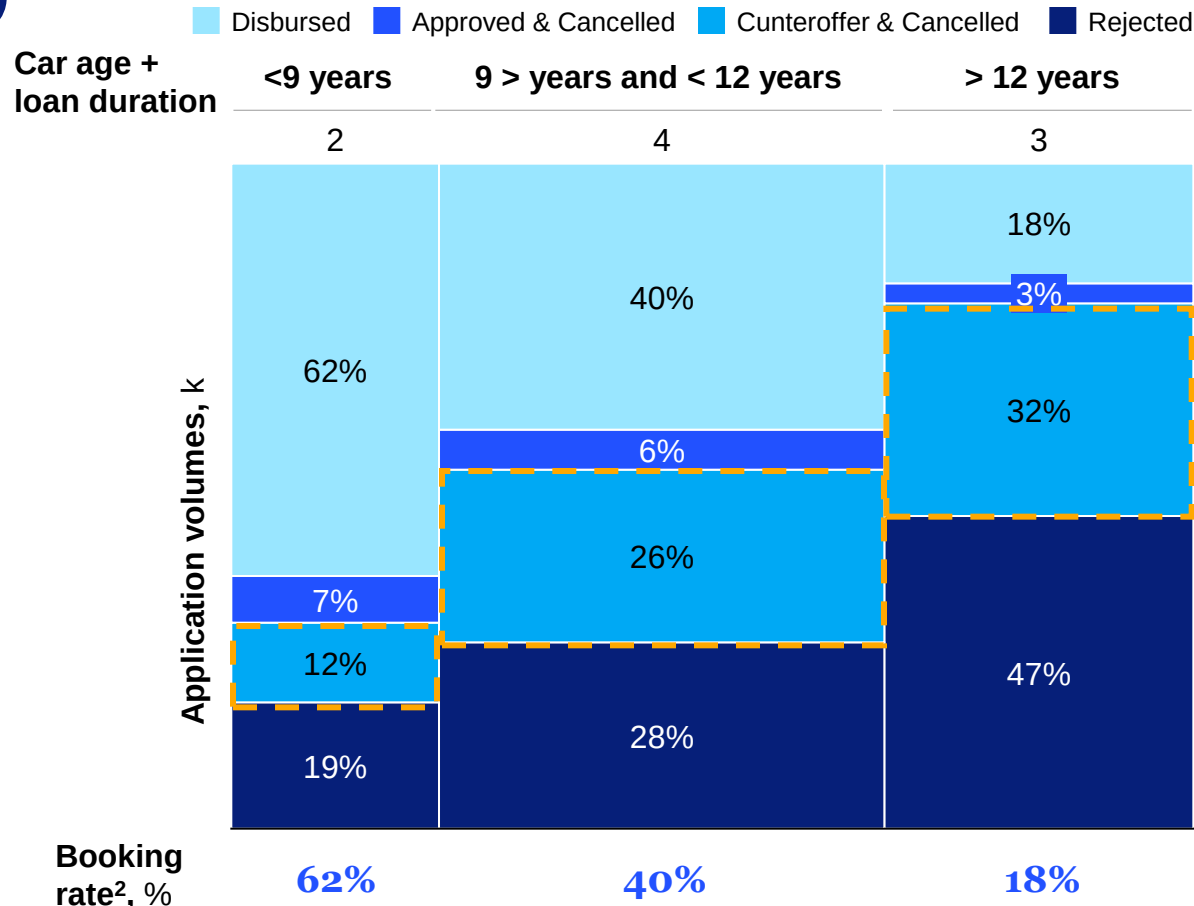
1. Downpayment as percentage of car value  
 2. Booking rate calculated as: Applications disbursed/ Total incoming applications; it excludes applications cancelled before Bank decision  
 Source: Team analysis

# C1 | The introduction of AA models in consumer lending will create the opportunity to reduce counter offers for used auto

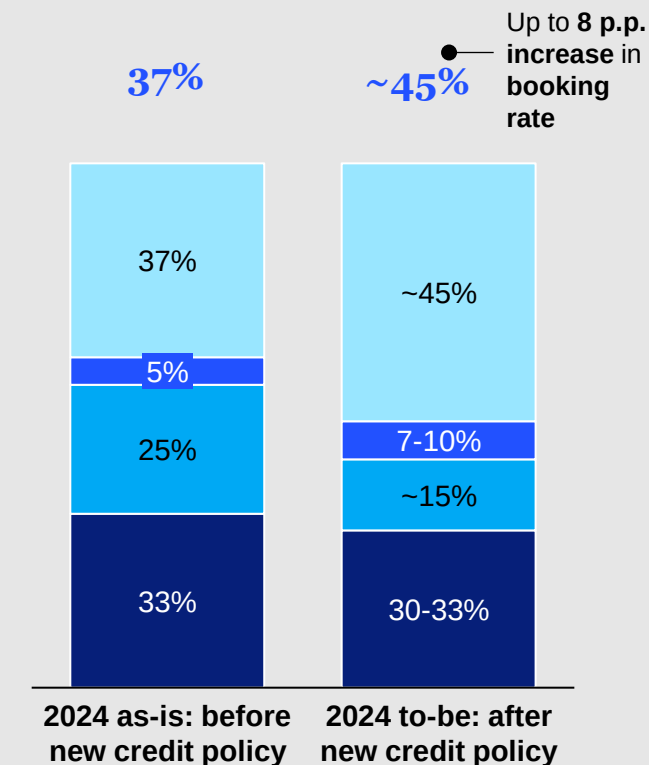
## New consumer lending policy

- Eurobank is introducing new **AA models to identify “Green Clients”** (i.e., borrowers in the high-conviction zone with a probability of default <3%)
- For these clients, loan approval will be recommended with **no additional mandatory guarantees** (e.g., minimum down payment)

## Eurobank as-is used auto loan application outcomes, (k#)



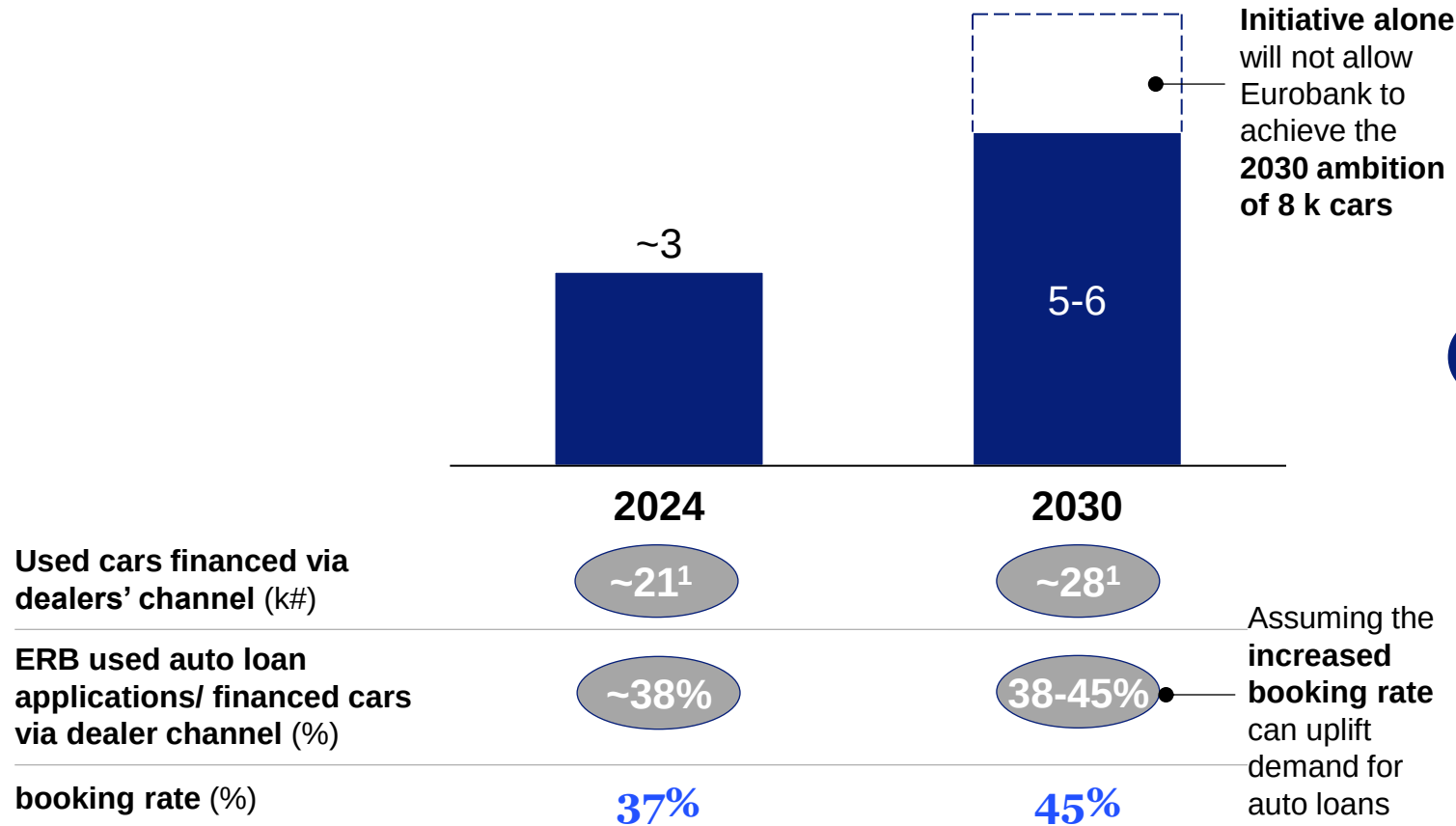
## Potential impact on Eurobank booking rate



1. Booking rate calculated as: Applications disbursed/ Total incoming applications; it excludes applications cancelled before Bank decision  
 2. For used auto

# C1 | The new policy will allow Eurobank to finance +2-3k used cars by 2030, accounting to +4-5 M€ RAR vs. 2024

2030 Eurobank potential: cars financed via independent dealers' network (k#)



## Key figures

**+2-3k** used cars financed (from ~3k cars in 2024 to 5-6k cars in 2030)

**+25-35M€** auto loan disbursements (from ~30M€ in 2024 to 55-65M€ in 2030)

**+4-5M€** RAR (from ~4 M€ in 2024 to 8-10M€ in 2030, of which ~2M€ is from market growth)

To realize our **2030 ambition**, necessary to address also **rejected applications**, considering the trade-off between CoR and increase in RAR

1. It excludes cash loans used to purchase cars via dealers' channel

# C2| To further strengthen its position in used car financing, Eurobank can enhance the competitiveness of its current balloon product

## Preliminary

### Key guidelines on balloon financing evolution

- Extension of **balloon financing** to **used cars**
- **No down payment required**, aligning with established practices in other markets
- **Revised credit policy** to accept dealer vehicle **buyback agreements** as **collateral**, to offer more competitive pricing

### Key characteristics

#### Current offering

|                            |                                                                                                                                                                      |
|----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Target cars</b>         | New cars                                                                                                                                                             |
| <b>Downpayment</b>         | Minimum 15%                                                                                                                                                          |
| <b>Dealer coverage</b>     | Toyota and Mercedes Benz dealers                                                                                                                                     |
| <b>End-of-term options</b> | <ul style="list-style-type: none"> <li>• Balloon repayment</li> <li>• Refinancing</li> <li>• Return the car via the dealer<sup>1</sup> buy-back agreement</li> </ul> |
| <b>Credit policy</b>       | <ul style="list-style-type: none"> <li>• Car buyback agreement not recognized as collateral</li> <li>• Customer DTI assessed based on full car value</li> </ul>      |
| <b>Pricing</b>             | Similar to auto loans (e.g., ~8% + 0.6% interest for new cars)                                                                                                       |

#### Potential target offering

|                                                                                                                                                                          |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| New and used cars                                                                                                                                                        |
| No downpayment                                                                                                                                                           |
| Potentially extend to additional dealers ( <i>tbd</i> )                                                                                                                  |
| <ul style="list-style-type: none"> <li>• Same options maintained, also for used cars</li> </ul>                                                                          |
| <ul style="list-style-type: none"> <li>• Car considered as collateral via dealer buyback agreement</li> <li>• Customer DTI assessed excluding balloon payment</li> </ul> |
| Lower than auto loans, leveraging dealer-backed collateral to reduce CoR                                                                                                 |

#### Expected value drivers

- Impact expected on loans where **car age plus loan term is below 9 years**, supported by dealer buy-back agreements
- **Key value drivers** include:
  - **decrease in rejections**, driven by lower monthly installments that improve DTI ratios
  - **Higher number of financing applications**, enabled by the removal of down payment requirements

*Impact estimation ongoing – pre-requisite is establishing dealer buyback agreements specifically for used cars*

1. Selected dealers only (e.g., Toyota, Mercedes Benz)

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- Recap and agree on **Car.gr B2C customer journey**

# B | Recap high-level B2C customer journey for Eurobank on Car.gr

Preliminary Not-exhaustive



Online step on Car.gr



Online step on Eurobank



Physical step at dealership

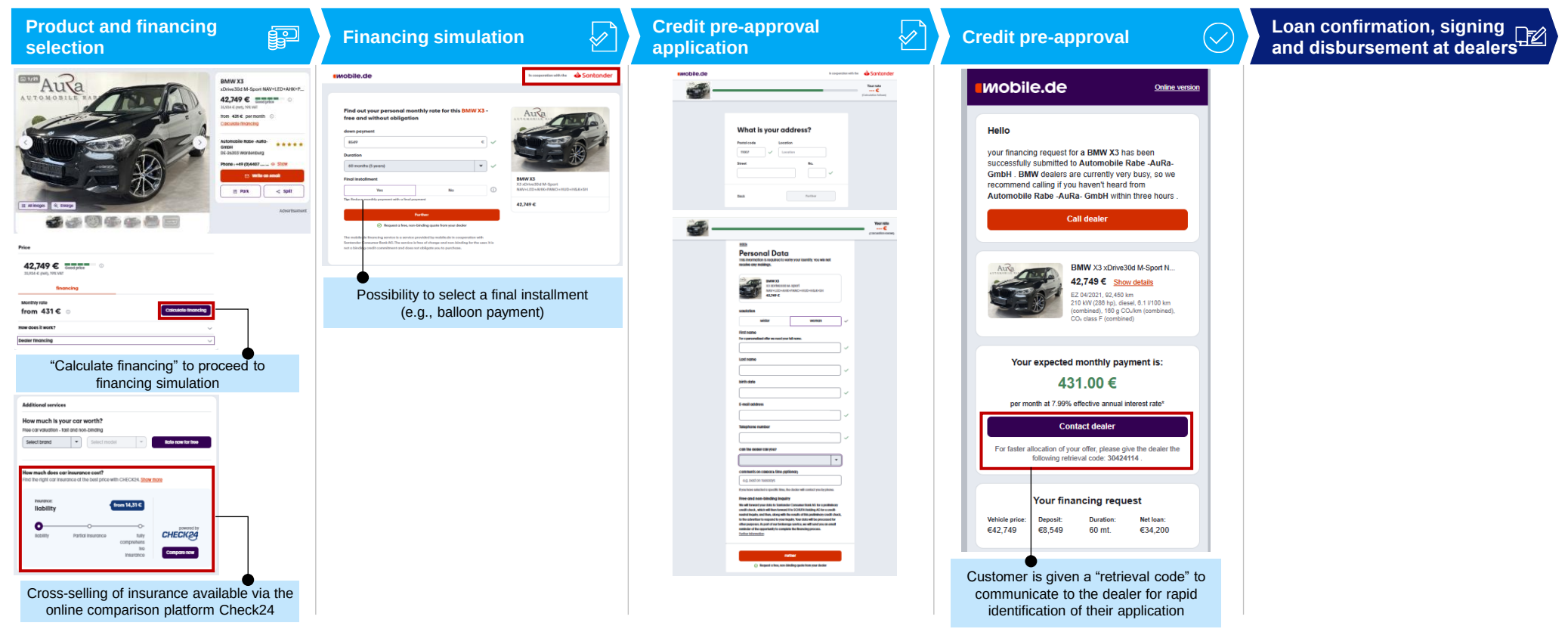
|                             | Product and financing selection                                                                                                                                                                                                                        | Financing simulation                                                                                                                                                                                     | Credit pre-approval application                                                                                                                                                                                                                                                                                                                        | Credit pre-approval                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Loan confirmation, signing and disbursement                                                                                                                                                                                                                                                                              |
|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High-level customer journey | <ul style="list-style-type: none"> <li>Customer visits the <b>vehicle page</b> on Car.gr to view car details and <b>explore online financing options</b></li> <li>Eurobank financing will be available on <b>all agreed dealer listings</b></li> </ul> | <ul style="list-style-type: none"> <li>Customer selects <b>Eurobank simulator</b> on Car.gr vehicle page, to preview “indicative” <b>monthly installment</b>, based on loan amount and tenure</li> </ul> | <ul style="list-style-type: none"> <li>Customer is redirected to Eurobank to initiate the <b>conditional credit pre-approval application</b>, which will be used to proceed their journey to the physical dealership</li> <li>Credit <b>conditional pre-approval form</b> includes self-declared data (e.g., income, voluntary downpayment)</li> </ul> | <ul style="list-style-type: none"> <li><b>Eurobank</b> processes the conditional <b>pre-credit application</b> and notifies the dealer of the <b>result</b></li> <li><b>Eurobank</b> notifies the <b>credit pre-approval decision</b> to the end customer, which includes:               <ul style="list-style-type: none"> <li>customer <b>monthly installments</b>, with <b>pricing tailored to dealer’s commercial terms</b></li> <li>unique “<b>dealer reference code</b>” tied to customer pre-approval, valid for a set period (e.g., 90 days)</li> <li><b>disclaimer</b> outlining that conditional pre-approval does not guarantee final approval, which is subject to verification of the information provided by the customer and fulfillment of specific conditions (e.g., loan term plus vehicle age &lt;12 years)</li> </ul> </li> </ul> | <ul style="list-style-type: none"> <li>Dealer <b>confirms vehicle availability</b> and assists end customer with <b>full loan application</b> (e.g., necessary data and documents)</li> <li>Upon final loan approval and <b>contract signing</b>, <b>financing</b> is disbursed <b>directly to the dealer</b></li> </ul> |
| Open points                 | <p>Possibility to offer <b>cross-selling of additional services</b> (e.g., car insurance) on Car.gr vehicle page</p>                                                                                                                                   |                                                                                                                                                                                                          | <ul style="list-style-type: none"> <li>Customer is redirected to Eurobank; if they are <b>ready to complete the loan application</b> without visiting the dealership, they can proceed with a <b>E2E digital loan application</b> and “full” credit approval process</li> </ul>                                                                        | <ul style="list-style-type: none"> <li>Customer is redirected to Eurobank; if they are <b>ready to complete the loan application</b> without visiting the dealership, they can proceed with a <b>E2E digital loan application</b> and “full” credit approval process</li> <li><b>Eurobank</b> processes the <b>credit application</b> and notifies the dealer of the <b>result</b></li> <li><b>Eurobank</b> notifies the <b>credit approval decision</b> to the end customer, which includes:               <ul style="list-style-type: none"> <li>customer <b>monthly installments</b>, with <b>pricing tailored to dealer’s commercial terms</b></li> </ul> </li> </ul>                                                                                                                                                                             | <ul style="list-style-type: none"> <li>Customer proceeds to <b>e-contract signing</b> and <b>financing</b> is disbursed <b>directly to the dealer</b></li> </ul>                                                                                                                                                         |
|                             |                                                                                                                                                                                                                                                        |                                                                                                                                                                                                          | <ul style="list-style-type: none"> <li>Possibility to authenticate customer and <b>retrieve their data</b> from the <b>Greek tax administration body (AADE)</b></li> </ul>                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                          |

# BACKUP

# B| Deep dive on Mobile.de customer journey for dealers' listings

Preliminary

Online step on Mobile.de    Physical step at dealership



- Key remarks**
- Financing application **seamlessly integrated** into Mobile.de platform
  - Credit pre-approval is a “**soft**” check, final financing terms are confirmed once customer applies at the dealership
  - Credit pre-approval is tied to **customer credit capability**, with not commitment to a specific car

|                                                                                                                                                                                                                           |                                                                                                                                                                                           |                                                                                                          |                                                                                                                                                                                                                            |                                                                                                                                                                                                                |
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| <p><b>Description</b></p> <p>Customer visits the <b>vehicle page</b> to view car details and <b>explore financing options</b></p> <p>Additional services (e.g., insurance) are offered via a partnership with Check24</p> | <p>Customer accesses a <b>financing simulator on Mobile.de</b> (in cooperation with Santander) to adjust loan terms, incl. <b>duration, down payment</b> and <b>final installment</b></p> | <p>Customer submits a <b>credit pre-approval application</b> by entering <b>personal information</b></p> | <p>Santander performs a <b>SCHUFA-based credit check</b> (i.e., Germany's credit bureau)</p> <p>Mobile.de emails the <b>pre-approval decision</b> to the <b>end customer</b>, including a <b>dealer reference code</b></p> | <p>Dealer <b>confirms vehicle availability</b> and assists with <b>final documentation</b> and <b>contract signing</b></p> <p>Upon loan confirmation, <b>financing is disbursed directly to the dealer</b></p> |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|                    |                         |                         |                                      |  |
|--------------------|-------------------------|-------------------------|--------------------------------------|--|
| <p><b>Time</b></p> | <p><b>2 minutes</b></p> | <p><b>5 minutes</b></p> | <p><b>10 minutes – few hours</b></p> |  |
|--------------------|-------------------------|-------------------------|--------------------------------------|--|